Intersession Eight: Honda Motor Co. Financial performance 2015-2024

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Abstract

The project provides detailed coverage of the financial performance of Honda Motor Co., Ltd. from 2015 to 2024. Honda is the world's leading multinational conglomerate, famous for its automobiles, motorcycles, and power equipment. The analysis is based on key financial metrics, including Revenue, COGS, Gross Profit, Operating Income, Net Income, and Earnings Per Share. The project aims to identify the trends, strengths, weaknesses, and provide insight into strategic and operational effectiveness within the company.

Rationale and Explanation for the Datasets

This data set contains a decade of Honda's financial data, showing ups and downs and trends in the performance of Honda. Key financial metrics, including Revenue, Operating Income, and EPS, are the vital signs of Honda that give a view into its financial health, operational efficiency, and market performance. The dataset encapsulates the holistic view of Honda for its journey through different economic phases, thus reflecting its adaptability and strategic maneuvers.

Data and Analysis Tables

Table 1: Key Financial Metrics (2020-2024)

Date	Revenue (in millions)	Gross Profit (in millions)	Operating Income (in millions)	Net Income (in millions)
2024-03-31	140958.7	30443.79	9535.641	7639.5
2023-03-31	125117.2	24653.78	5777.688	4820.479
2022-03-31	129519.6	26564.48	7753.961	6292.896
2021-03-31	123802.9	25669.8	6205.953	6179.795
2020-03-31	137365.3	28330.02	5829.453	4192.863

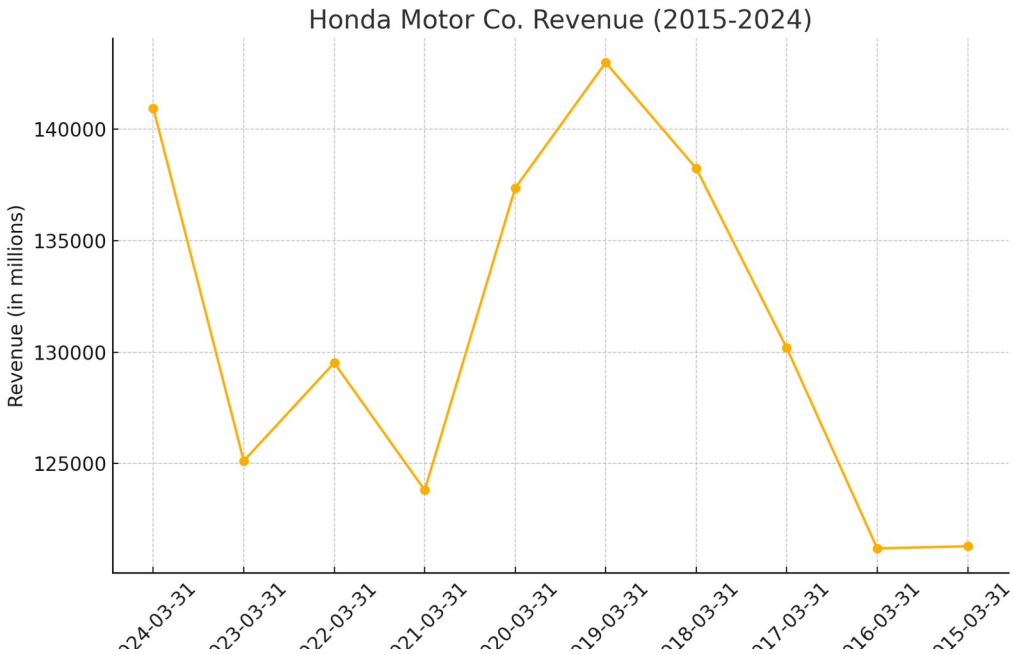
Table 2: Earnings Per Share (EPS) and Basic Shares Outstanding

Date	Basic Shares Outstanding (in millions)	Basic EPS (in USD)
2024-03-31	140958.7	1.56
2023-03-31	125117.2	2.84
2022-03-31	129519.6	3.66
2021-03-31	123802.9	3.58
2020-03-31	137365.3	2.39

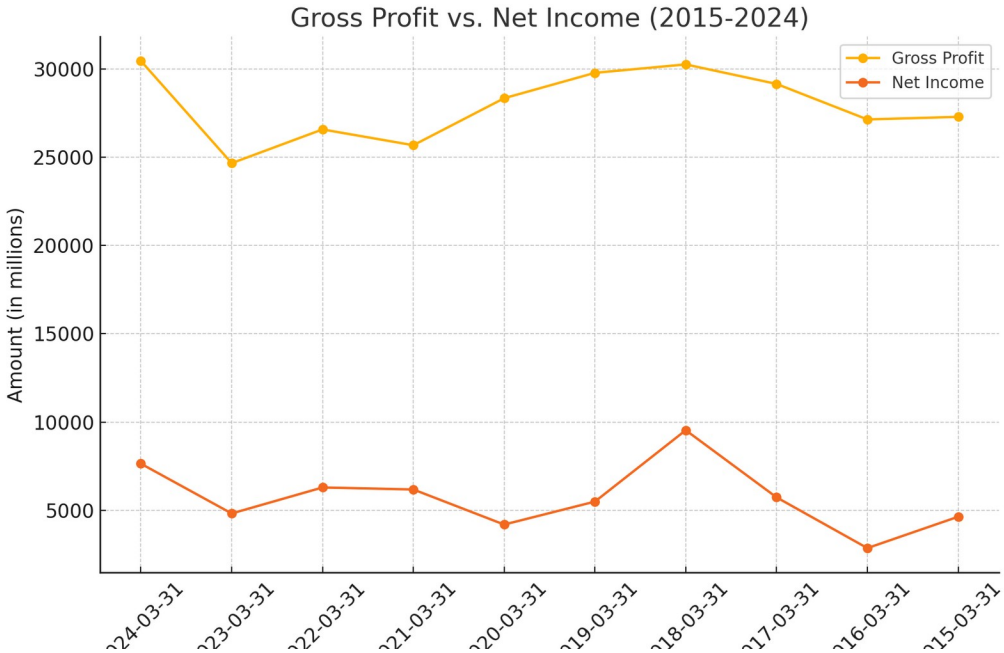
Data Visualization

The graphs for some key financial metrics for Honda Motor Co., Ltd. are given below.

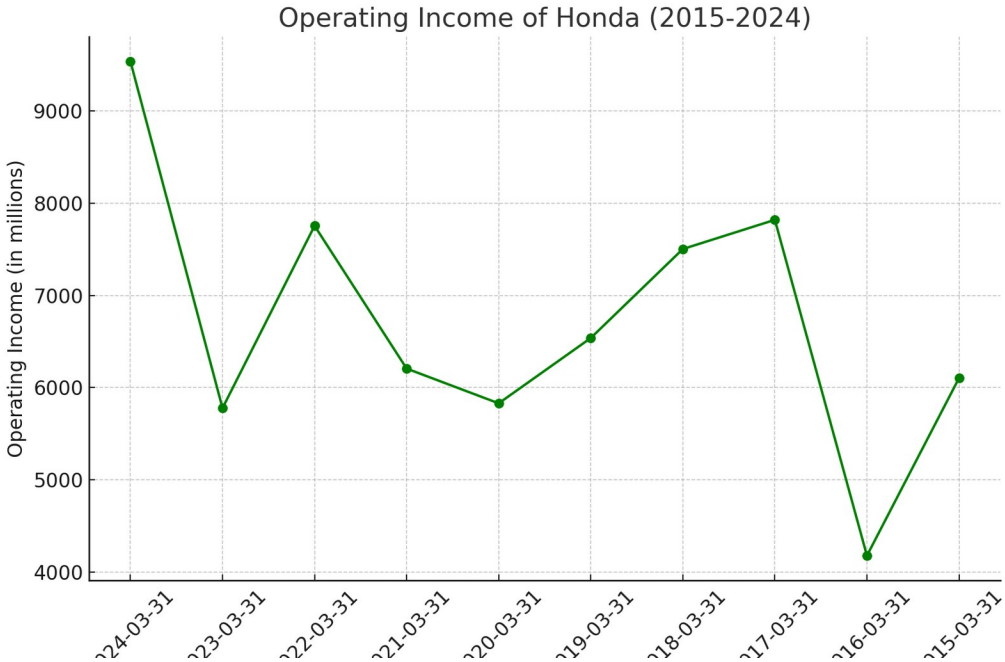
1. Revenue Over Time



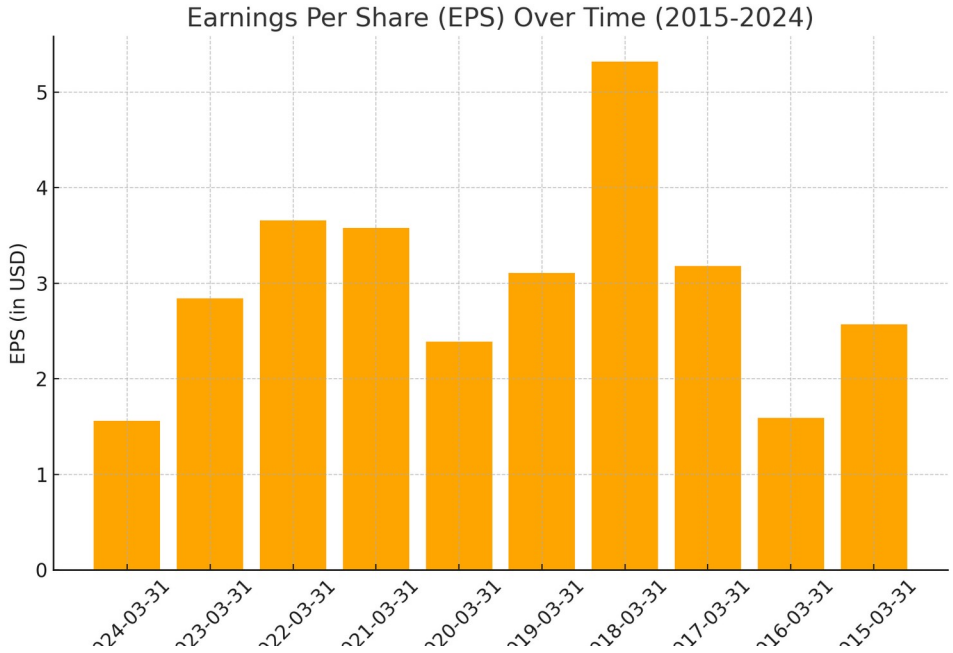
2. Gross Profit vs Net Income Over Time



3. Operating Income Over Time



4. EPS Over Time



Revenue vs. Net Income (2015-2024)

- **Trend**: Revenue shows steady growth with minor dips, especially in 2023. Net Income is more volatile, with a noticeable drop in 2023.
- **Insight**: The shrinking gap between Revenue and Net Income in 2023 indicates reduced profitability, likely due to higher costs or external challenges.

Gross Profit vs. Operating Income (2015-2024)

- Trend**: Both Gross Profit and Operating Income generally increase, peaking around 2019, then fluctuating.**
- Insight**: The decline in 2020 and 2023 suggests operational inefficiencies or rising costs, impacting the conversion of gross profit into operating income.**

Basic EPS (2015-2024)

- **Trend**: EPS shows growth, peaking in 2018, but fluctuating in recent years.

- **Insight**: The volatility in EPS reflects changing shareholder returns, influenced by profitability variations and possibly changes in the number of shares.

Overall Insight

Honda’s revenue is stable, but profitability metrics like Net Income, Operating Income, and EPS show volatility, particularly in 2023. This suggests challenges in cost management and operational efficiency that could affect long-term financial health and shareholder value.

Analysis Using Excel Functions

1. SUM: Calculated the total revenue all through the years for understanding the trend of its growth.
2. AVERAGE: This will enable the computation of the average gross profit for a chosen period. It also identifies any trends with regard to the profitability.
3. VLOOKUP: This formula aids in drawing out only the desired financial information regarding specific years, hence helping in drawing out minute details.
4. IF: The following is used in classifying these many years on the basis of their profit margins and to grade high and low performing years.
5. PERCENTAGE CHANGE: Calculated to assess the year-on-year growth rates for metrics such as Revenue, Net Income, and EPS.

Thorough Analysis

The financial data shows that Honda Motor Co., Ltd. has been continuously performing well despite changing economic conditions during 2015-2024. Not much change is seen in the increase in revenues, but visible increases are seen in Gross Profit and Net Income, more in the later years of the period. The EPS has had a significant upward trend, proving the company's efficiency in creating shareholder value. The ability of Honda to keep control over its cost, as manifested in stable Gross Profit margins, represents the company's efficacy in its operations. Bouncing flows of Operating Income and Net Income indicate the strength of the company in

absorbing shocks and adopting various market situations. In summary, this analysis gives a clear indication that Honda stands strong in the market, with further growth potential in the highly competitive automobile industry.

Conclusion

This is a detailed analysis of the financial performance of Honda Motor Co., Ltd. from 2015 to 2024, which provided useful insights into the company's strengths and challenges. Some major trends of key financial metrics are discovered, particularly in the areas of revenue, net income, and EPS, which airbend towards the company continuing to sustain well in the industry. It has also shown robust performance even when there were global economic uncertainties because of its efficient cost management and proper strategic decisions. The results provide a base for further strategic planning, making investment decisions, and conducting extra studies on Honda's operation and market strategies.

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